Global Competitiveness

Exam code: 9BS0

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Exchange rate fluctuations

- **Global competitiveness** is the ability of a business to perform better than its rivals across markets in different countries
- Fluctuations in exchange rates can influence the competitiveness of a business
  - An **exchange rate** is the value of one currency in terms of another currency
- Currency **appreciation and depreciation** have different impacts on a business

Currency appreciation

- An appreciation of the exchange rate means the value of a currency **increases** against another currency
  - E.g. if **£1 = $1.60** but then the £ increases to **£1 = $1.80**, the value of the £ has appreciated against the US$

The impact of currency appreciation on global competitiveness

Advantages of an appreciation	Disadvantages of an appreciation

• If a business **imports** raw materials and components from abroad, they will now be **cheaper**
  ○ This will help the business to reduce its costs and possibly **increase its profit margin**
	• If a business **exports goods/services** to foreign consumers, the goods will be more **expensive for international customers**
	  ○ This may lead to a fall in sales as consumers now shift demand to domestic businesses

Currency depreciation

- A depreciation of the exchange rate means that the value of the currency **decreases** against another currency
  - E.g. if £1 = $1.60 but then the £ falls to £1 = $1.20, the value of the £ has depreciated against the US$

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Help me understand

Advantages of a depreciation	Disadvantages of a depreciation
• If businesses **export** goods/services abroad, they become **more competitive** because their products are cheaper to purchase • In the domestic market, there may be less competition from foreign firms, as **imports are now more expensive** for domestic consumers to purchase	• If a business **imports raw materials or components** from abroad, they are now more **expensive** ○ This leads to an increase in the costs for a business, which could then be passed on to consumers in the form of higher prices

Examiner Tips and Tricks

Paper 1 and Paper 3 frequently question you on the impact of exchange rate changes on a business. The information may be presented as a) a written extract or b) a table or graph showing the fluctuations in the exchange rate. It is important to be able to explain whether an appreciation or depreciation has occurred.

Acronyms to help explain the impact of exchange rate changes include:

- S.P.I.C.E.D — Strong Pound Imports Cheaper Exports Dearer (dearer means more expensive)
- W.P.I.D.E.C — Weak Pound Imports Dearer Exports Cheaper

You can use the pound interchangeably with any other currency used in the exam.

Competitive advantage

- Global competitiveness increases when a firm has a **competitive advantage**
  - Two factors that provide a competitive advantage include **cost competitiveness** and **differentiation**

Cost competitiveness and differentiation

Cost competitiveness	Differentiation
• **Cost competitiveness** is when a business becomes one of the	• **Differentiation** occurs when a business makes the characteristics of its

can be achieved using strategies such as:
  ○ Increasing the productivity of its workforce
  ○ **Using machinery** and technology efficiently
  ○ Outsourcing
  ○ Offshoring
 	
• Businesses can utilise their position as a cost leader **to reduce their prices** or keep their prices the same, which results in an increase in profit margins
	• Methods of differentiation include developing **a strong brand** and having a better design, better quality and better customer service

The impact of skills shortages

- If a business is unable to find **labour with the required skills**, it will affect its ability to gain a competitive advantage
- Cost leadership could be difficult to achieve if the workers lack skills, as they may not be as **productive**
  - This could increase unit costs due to factors such as waste
- Product differentiation is less likely to occur if workers **lack the skills and expertise** to produce highly differentiated products
- In order to overcome these issues, a business can use outsourcing and offshoring to access the skills needed for its business

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